

CELSIUS HOLDINGS, INC. (NASDAQ: CELH)

Good Business, Bull-Case Price REDUCE — the Old \$38 Was Terminal Math

Equity Research Note · Consumer Staples — Beverages · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$23	\$26.75 Oct 2, 2026	-14.0%	High High-beta, sentiment-driven

Snapshot			
Market cap	~\$7.0 bn	Shares (diluted, ex-preferred)	~260 mn
Enterprise value*	~\$8.8 bn	52-week range	\$23.55 – \$66.74
TTM revenue (to Q2'26)	~\$3.05 bn	Portfolio U.S. share (Circana)	~20.1% (#3)
H1 2026 revenue	\$1.60 bn (+50%)	Q2'26 revenue	\$817.9 mn (+10.6%)
Net debt	~\$54 mn (~0.1x EBITDA)	PepsiCo preferred (debt-like)	\$1.76 bn, 5% coupon
Next catalyst	Q3'26 earnings (~early Nov)	Street view	~18 of 24 at Buy, avg PT ~\$42–44

*EV = equity at \$26.75 + \$1.76B PepsiCo preferred (treated as debt-like) + ~\$54M net debt.

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Celsius Holdings' SEC filings and earnings releases, Circana data via company materials, and market data as of October 2, 2026. Projections and the price target are the author's estimates.

1 Investment Thesis

Our September note was BUY with a \$38 target. We reverse it — not because the business got worse, but because the old math was broken. The \$38 rested on a 9% WACC, a 3.5% perpetual terminal growth rate, and peak-cycle margins — a combination that made the terminal value **121% of enterprise value**. Read that again: nearly the entire valuation sat in the terminal year. The ten explicit forecast years were decoration; the price was the terminal assumption. The old note's DCF was not a valuation — it was the bull case wearing a DCF's clothes.

The business underneath is genuinely good. Celsius is the clear #3 platform in U.S. energy drinks with **~20% dollar share** across three brands under one PepsiCo roof, it owns the fastest-growing brand in the category (Alani Nu, **+56% tracked-channel retail** in Q2), it holds PepsiCo's "strategic energy lead in the U.S." status, and the balance sheet is essentially unlevered with real, growing cash generation. We do not dispute that — we liked it at \$28.

But good businesses get mispriced when the model refuses to discipline them. The hardened 10-year scenario DCF — bear 25% / base 50% / bull 25%, scenario discounts of **14.5% / 12% / 10.5%** (base 12%: speculative tier — a sentiment-driven consumer name with beta ~1.4–1.8, PepsiCo concentration, and influencer-brand durability risk), terminal growth capped at **1.0% / 2.5% / 2.5%** on **mid-cycle margins of 20.5% / 24% / 25%** — yields **bear \$7.70 / base \$22.90 / bull \$38.48**, weighted fair value **\$23, 14% below** the \$26.75 quote. The old bull case (\$38.48 now) requires 8.3% revenue compounding for a decade at 25% mid-cycle margins *and* the terminal discipline holding — a genuinely demanding setup. The bear hurts because it is real: Alani Nu's influencer-driven growth stalls, the core brand keeps shrinking, and margins sit near 20.5%. That drawdown is **–71%**, and it carries a quarter of the weight.

There is also a capital-structure fact the old note underweighted: the **\$1.76B PepsiCo preferred sits senior to the common** and is debt-like — roughly **\$6.77 per share** of claim ahead of every common shareholder on ~260M shares. This is a good enterprise with a heavily claimed capital structure; the common is a thin residual of it. That is not a reason to hate the business, but it is a reason the equity multiple should be sober — and why the old 19x-forward-earnings framing flattered the stock.

Recommendation: REDUCE, \$23 target. Current holders should reduce — the position is a momentum-and-turnaround trade wearing a compounder's clothes, and the terminal math that supported \$38 does not survive contact with hardened assumptions. We would turn constructive around **\$18–20**, where even the base case starts to offer a margin of safety. What would falsify this: the core brand returning to tracked-channel growth for two consecutive quarters (Q3/Q4 2026) — that would argue the **–11.7%** was rationalization, not structural decay — or gross margins holding back at 50%+ with promo intensity normalizing, which would make the bull case live.

Why own it

The #3 portfolio with a distribution moat. ~20.1% U.S. dollar share (Celsius 9.5%, Alani Nu 8.7%, Rockstar 1.9%) through PepsiCo's DSD system — ~1M retail doors, ~99.5% availability, and "strategic energy lead" status since August 2025. None of the challenger brands can replicate this structure.

Alani Nu is the category's fastest-growing brand. \$364.4M in Q2 (+21% shipped, +56% tracked retail); \$732M in H1 2026. Two billion-dollar brands in the portfolio per management — the growth engine is real, not promised.

Best value position with premium realization. Best caffeine-per-dollar among mainstream brands at a premium per-ounce price, supporting ~48–50% gross margins — the margin structure of a differentiated brand, not a commodity.

International is a genuine runway. Only ~3–4% of revenue today (\$62.5M H1 2026, +32%; Q1 +55%), with Spain launched via Suntory in March 2026 and management targeting 15%+ of revenue by 2030 — a potential \$500M+ revenue stream.

Clean balance sheet, real cash. Net debt ~\$54M (~0.1x EBITDA), \$323M FY2025 FCF, \$300M buyback authorization (\$100M executed in Q2 alone), and the CEO personally buying shares at ~\$27.44 in September.

Why the market should be nervous

The price is the old terminal assumption. Terminal value was 121% of EV at 9% WACC and 3.5% perpetual growth on peak margins. Under risk-adjusted discounting and mid-cycle-margin discipline, even the base case (\$22.90) sits 14% below the quote — and the bull case (\$38.48) needs a decade of near-flawless execution to deliver +44%.

The highest-margin asset is shrinking. Core Celsius revenue fell –11.7% in Q2 (deliberate SKU rationalization, inventory rebalancing, club-channel softness — but decay is decay until proven otherwise) while the growth asset, Alani Nu, carries lower margins and influencer-brand durability questions. The mix shift runs against margins.

Alani Nu could be Prime Energy. Influencer-driven brands can fade fast — Prime's collapse is the cautionary tale. \$2.3B of goodwill and brands (~45% of assets) would impair if the equity fades. Repeat-purchase data, not flavor-rotation LTOs, is the durability test.

The common is junior to \$1.76B of preferred. ~\$6.77/share of PepsiCo claim stands ahead of common holders — plus the 5% coupon (~\$57M/yr). The equity's upside is levered to this claim being outgrown, which is exactly what the hardened DCF does not assume for free.

Q2 margin compression is the bear's evidence. Gross margin –340 bps to 48.1% on promo spend, channel mix, and aluminum inflation; adjusted EBITDA –12% despite record revenue. The low-50s recovery is a management guide, not a fact — management guides are not inputs in this methodology.

2 Business Overview — What Celsius Is Doing

Celsius Holdings is a capital-light “better-for-you” functional beverage platform. It does not manufacture its own drinks at scale; production is outsourced to third-party co-packers (it bought one contract manufacturer, Big Beverages, for \$75M in late 2024 to tighten supply-chain control). Revenue comes from shipments through distributors — overwhelmingly PepsiCo's U.S. direct-store-delivery system — plus international license partners and e-commerce (Amazon/DTC).

The brand began in 2003 as a “negative-calorie” thermogenic gimmick, was delisted in 2010, and was rebuilt under CEO John Fieldly (CFO 2012, CEO 2018) into a fitness-lifestyle identity: zero sugar, fruit-forward, 200mg caffeine, marketed through gym and influencer culture. The 2020–2023 run made it one of the best-performing U.S. stocks. In August 2022 PepsiCo invested \$550M in convertible preferred (~8.5% stake) and became the primary U.S. distributor.

2025 was the transformational year. Celsius closed two acquisitions: **Alani Nu (\$1.8B, April 2025** — \$1.275B cash + \$500M in shares + \$25M earn-out; net \$1.65B after ~\$150M NPV of tax benefits, funded with a \$900M Term Loan B plus cash, at <3.0x Alani's \$595M 2024 revenue and ~12x fully-synergized EBITDA) and **Rockstar Energy U.S. & Canada (August 2025, from PepsiCo)**, rounding out the conventional male-skewed value segment. Simultaneously, PepsiCo moved Alani Nu onto its DSD system, invested another **\$585M in convertible preferred** (stake ~11%, second board seat), and named Celsius its “strategic energy lead in the U.S.” — Celsius now manages Celsius, Alani Nu, and Rockstar while PepsiCo distributes the full portfolio.

What the company is doing right now

Integrating and deleveraging. Term loan paid down \$200M in Q4 2025 and \$55M in Q2 2026; \$50M run-rate Alani synergies targeted as integration completes.

Rationalizing the core brand. Deliberate SKU rationalization in Celsius core through 2026, with a planned 2027 16oz line refresh as the intended fix for the –11.7% Q2 decline.

Running the Alani playbook. Flavor-rotation LTOs (Purple Cotton Candy, the largest-ever Alani LTO “Witch’s Brew” planned for 2027) — the influencer flywheel that must keep spinning for the bear case to stay wrong.

Pushing international. Nordics, UK, France, Ireland, Australia/NZ, Benelux; Spain launched March 2026 via Suntory; Dublin global HQ; Aston Martin F1 partnership (Jan 2026) as the global brand vehicle.

3 Financial Analysis

The P&L is in a noisy integration phase: mix shift toward the lower-margin acquired brands, promo investment, and aluminum inflation are compressing gross margin, while shipments grow on the back of Alani Nu. H1 2026: revenue **\$1.60B (+50%)**, adjusted EPS **\$0.77 (+19%)**.

\$ mn, except EPS	Q1'26	Q2'26
Revenue	782.6	817.9
YoY growth	+138%	+10.6%
Gross margin	—	48.1% (–340 bps)
Adjusted EBITDA	195.5 (25.0%)	184.2 (22.5%, –12%)
Adjusted diluted EPS	0.41	0.36 (miss vs ~0.42)
Celsius brand revenue	+6%	–11.7%
Alani Nu revenue	368	364.4 (+21% shipped)
Rockstar revenue	67	66.5

Q2 2026 (Aug 6) was the **first revenue miss since Q1 2025** (~\$870M consensus); the stock fell ~16% to ~\$24.50. Q2’s miss was driven by the core brand’s decline and margin compression, while the portfolio still grew tracked-channel retail +31% and held ~20.1% share — Alani Nu 8.7% (#4 brand nationally, bigger than Bang, Ghost, or C4 individually).

Balance sheet: cash \$631M; term loan \$695M gross (being paid down); net debt ~\$54M (~0.1x EBITDA); \$100M revolver undrawn; \$300M buyback authorization (\$100M executed in Q2). PepsiCo preferred (\$1.76B liquidation preference, 5% coupon) sits in mezzanine equity — treated as debt-like in valuation. Goodwill + brands ≈ \$2.3B (~45% of assets): the Alani Nu premium, vulnerable to impairment if brand equity fades. FY2025 operating cash flow \$359M, FCF \$323M; capex-light co-packer model (~\$17M in H1 2026).

Consensus FY2026: revenue ~\$3.2–3.45B, adjusted EPS ~\$1.47–1.60. Consensus FY2027: revenue ~\$3.4–3.65B, EPS ~\$1.76–2.00. Management guides gross margins back toward the low-50s in 2027 on completed integration and normalized aluminum — a guide, not a fact.

4 Product Portfolio Evaluation

Product	Profile	Assessment
Celsius Core 12oz, 200mg, zero sugar	Flagship fitness-energy; MetaPlus blend	Strong brand equity, highest per-ounce realization — but decelerating: –11.7% Q2. Needs the 2027 16oz refresh.
Celsius Essentials 16oz, 270mg, aminos	Performance tier vs Monster Ultra/Ghost	Good segment coverage; early days.
Alani Nu	Female/Gen-Z influencer brand; flavor LTOs	The growth engine: +56% tracked retail. Two billion-dollar brands. The thesis concentrates here — and so does the risk.
Rockstar (U.S./Canada)	Conventional value energy	~2% share; defensive filler for the value tier.
Celsius Hydration Electrolyte sticks (Jan 2025)	Targets \$1.4B hydration-powder market	Sensible adjacency; small today.

Product	Profile	Assessment
On-The-Go powders	#1 in energy-powder category	Niche but profitable.

Net view: the portfolio covers the full energy spectrum (fitness-premium, female-lifestyle, conventional-value) under one PepsiCo DSD roof — a structure none of the challenger brands can replicate. The weakness is the margin inversion: the highest-margin asset (core Celsius) is the one currently shrinking, while the growth asset (Alani Nu) carries lower margins and influencer-brand durability questions.

5 Competition

Brand	~U.S. \$ share	Distributor	Assessment
Red Bull	~35–40%	Direct	Premium heritage leader; under retailer pricing pressure (Kroger pulled it nationally, Sept 2026).
Monster	~30%	Coca-Cola system	Adrenaline/masculine; Reign flanks Alani Nu on female-skewed. Far deeper pockets.
CELH portfolio	~20%	PepsiCo (exclusive)	#3; fitness + female-lifestyle + value. Exceeds the entire challenger tail combined.
Bang / Ghost / C4	~2–4% each	KDP / mixed	Direct challengers on fitness positioning.
Prime Energy	Collapsed	—	The cautionary tale: influencer-hype half-life, supplier lawsuits. The Alani Nu precedent the bear remembers.

Structural advantages for CELH: (1) PepsiCo category-captain status — ~1M retail doors, ~99.5% availability; (2) best caffeine-per-dollar among mainstream brands (Celsius 12-pack \$0.89/100mg vs Red Bull \$2.50, Monster \$1.11) at premium per-ounce realization; (3) the only scaled better-for-you portfolio — further share gains must come from Monster/Red Bull, not the tail. Competitive risks: Monster/Coke flank Alani Nu with female-skewed sub-brands; Ghost and C4 compete for the fitness consumer; private label gains in grocery; retailer buyer power is rising.

6 Valuation — Hardened 10-Year DCF, Fair Value \$23

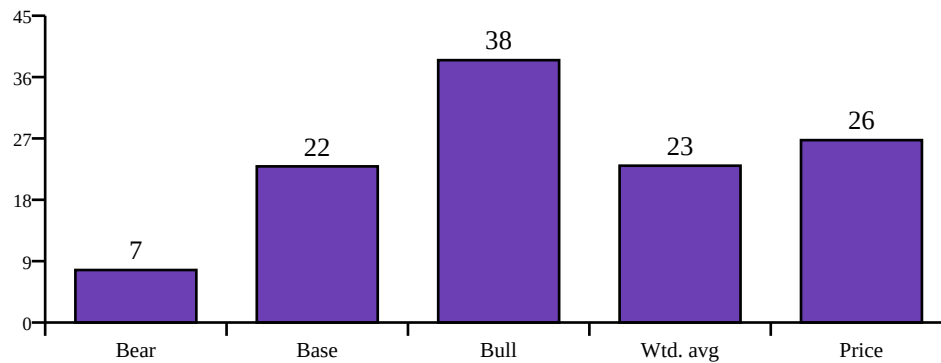
The old note's DCF used a **9% WACC** (a 1.0 beta — a fantasy for this name), a **3.5% terminal growth rate**, and peak-cycle ~26% EBITDA margins into perpetuity. The terminal value was **\$13.6B against an \$11.2B enterprise value — 121% of EV**. Under the hardened methodology (TV > 70% of EV gets a haircut and a disclosure), the old \$38 is disqualified on the terminal math alone, before any debate about growth or margins.

The rebuild: a 10-year scenario free-cash-flow DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear **14.5%** (base + 250bp), base **12.0%** (speculative tier: high-beta consumer, PepsiCo concentration, influencer-brand durability, execution-dependent core-brand turnaround), bull **10.5%** (base – 150bp). Terminal growth is capped at **1.0% / 2.5% / 2.5%** on year-10 FCF at **normalized mid-cycle margins (20.5% / 24% / 25%)** — never peak margins. The \$1.76B PepsiCo preferred and ~\$54M net debt are charged as senior claims before any common value.

Scenario DCF (10-year, preferred charged senior):

Scenario	10-yr rev CAGR	Mid-cycle FCF margin	Discount / term. g	Fair value
Bear	1.2%	20.5%	14.5% / 1.0%	\$7.70
Base	5.5%	24%	12.0% / 2.5%	\$22.90
Bull	8.3%	25%	10.5% / 2.5%	\$38.48
Probability-weighted (25/50/25) → \$23 target				\$23

Scenario fair values vs. Oct 2, 2026 price (\$)



What each scenario means. **Bear (\$7.70, -71%)**: Alani Nu's influencer-driven growth stalls as novelty fades; the core Celsius brand keeps shrinking past 2027; margins sit near 20.5% under promo pressure; the \$2.3B goodwill impairs. The bear hurts, as required — and it carries a full 25% weight. **Base (\$22.90, -14%)**: Alani Nu growth normalizes from +50%+ toward mid-teens by 2028, the core brand stabilizes in 2027 on the 16oz refresh, international compounds ~30%+ from a small base, gross margins recover to the low-50s. **Bull (\$38.48, +44%)**: international hits the 15%-of-revenue 2030 target, margins hold 25% mid-cycle, Alani Nu proves durable beyond the LTO cycle — a genuinely demanding decade.

Reverse DCF: what is priced in? The market at \$26.75 prices roughly **base-case execution with a margin of hope** — a touch above our \$22.90 base, a touch below the \$23 weighted fair value. There is no fantasy premium in the quote the way there was at \$66 or \$100. What makes this a REDUCE rather than a HOLD is the distribution: with a \$7.70 bear carrying 25% weight, the expected return is -14% against a left tail that is more than half the price. The upside case pays +44% only for flawless execution; the downside case is priced for observable, already-happening things (core-brand decline, promo pressure, influencer-brand half-lives). The old note framed this as a cheap no-growth multiple (19x forward earnings, PEG ~0.9). The hardened view: that multiple was cheap only because the DCF behind it was terminal fantasy. At a 12% cost of equity, this is not a cheap compounder — it is a fair-priced one with the wrong verdict on top.

Price target: \$23. The target is the probability-weighted hardened DCF — $0.25 \times \$7.70 + 0.50 \times \$22.90 + 0.25 \times \$38.48 = \22.995 — with no multiple overrule. Implied downside -14.0% vs the \$26.75 Oct 2, 2026 close. The verdict survives even at a 10% base discount (the call would still be at best a HOLD at that rate — the verdict is robust because the preferred claim and mid-cycle margins dominate, not because of one discount tier).

7 Risks

Core brand decay continues. Celsius -11.7% in Q2; if the 2027 16oz refresh fails, the highest-margin asset keeps shrinking and the base-case stabilization assumption breaks.

Alani Nu durability. Influencer-driven brands can fade fast (see Prime Energy's collapse); \$2.3B of goodwill and brands would impair. Repeat-purchase data is the test; flavor LTOs are the drug.

Margin pressure. Promo intensity, channel mix, and aluminum/diesel inflation vs. the low-50s gross-margin target — Q2's -340 bps compression is the bear's exhibit A.

PepsiCo concentration. The majority of revenue flows through one partner; the 2024 destocking episode shows the shipment-timing volatility this creates, and the \$1.76B preferred is senior to the common.

Regulation. England bans >150mg/L sales to under-16s from April 2027; Quebec similar; several U.S. states advancing curbs. Youth-skewed Alani Nu is the most exposed asset in the portfolio.

Overhangs. A shareholder class action (channel-stuffing allegations), ~8% short interest, and August 2026 activist/leadership noise (COO departure; Rockstar co-founder's 4.7% stake and leadership

critique).

8 Falsification & Recommendation

Falsification conditions — what would force a rebuild:

Celsius brand returns to tracked-channel retail growth for two consecutive quarters (Q3/Q4 2026) → argues the –11.7% was SKU rationalization and inventory rebalancing, not structural decay. Base case rebuilds upward; rating revisits toward HOLD/BUY.

Alani Nu tracked-retail growth stalls below ~20% for two consecutive quarters, or goodwill impairment → the Prime Energy precedent is live; the bear dominates the weighting; SELL.

Gross margins sustain 50%+ with promo intensity normalizing through H1 2027 → the bull case is live; upgrade toward BUY.

PepsiCo distribution disruption or adverse preferred conversion terms → the senior claim widens; bear case. Conversely, accelerated preferred redemption on cash generation would widen the common residual — material upside to our math.

Recommendation

REDUCE, \$23 target (–14.0%). The September note's BUY rested on a 9% WACC, 3.5% terminal growth at peak margins, and a terminal value worth 121% of enterprise value. Stripped of that math, the hardened 10-year DCF values Celsius at \$23 (bear \$7.70 / base \$22.90 / bull \$38.48) against a \$26.75 quote. The business is good — #3 portfolio, fastest-growing brand in the category, PepsiCo's strategic energy lead, an unlevered balance sheet — but at \$26.75 you are paying for the old terminal math: base-case execution with the bear (–71%) still very much alive and carrying a quarter of the weight. **Current holders should reduce**; this is a turnaround-and-momentum trade wearing a compounder's clothes until the core brand proves otherwise. We would turn constructive around **\$18–20**, where even the base case finally offers a margin of safety — and to BUY on the falsification evidence above: core-brand stabilization, sustained 50%+ gross margins, or Alani Nu proving durable past the LTO cycle.

This note is research analysis, not investment advice. Estimates are the author's; figures sourced from company filings, earnings materials, Circana data via company materials, and market data as of October 2, 2026. Equity investing involves risk of loss.